

LOW BURDEN



FORMING HUF

A combined approach of individual and HUF income can help a married couple enjoy more tax benefits



GIFTING

Gifts received from spouse are tax-free up to ₹50,000



GIVING A LOAN

A taxpayer can reduce tax liability or avoid clubbing income by loaning to their spouse at a certain interest



HOUSING LOAN BENEFITS

A joint housing loan with both spouses as co-owners means equally sharing principal repayment and interest



CHILDREN'S TUITION FEE

Married couples with children can claim a deduction on the tuition fee paid for up to two children



IT WAS THE END of the month. X (name withheld on request) received that all-important notification on his phone informing him that his salary had been credited. He immediately opened the banking app on his phone to transfer funds to various accounts to meet daily expenses, set aside savings and investments, etc. He also transferred some money to his wife, a homemaker, to cover her monthly expenses.

But then a doubt crept into his mind. Would the money transferred to his wife's account be considered taxable income for her? Should he then file income tax returns for her?

Faced with this dilemma, he reached out to experts. They reassured him that, in most cases, transferring money between spouses for everyday expenses is not taxable. This is because a married couple is considered one economic unit for tax purposes.

But there is a catch here: the transfers are not taxable, provided the sums are not large. If, for instance, the transfers are large sums or are being done for reasons other than meeting shared expenses, then it's possible that there could be some tax implications.

"Generally, an individual transfers a certain amount to their spouse, who is a homemaker and does not earn any income regularly, solely for meeting personal and household expenses; such transfers are not subject to tax in the spouse's hands. This is known as 'pin money'. Any amount can be termed 'pin money'. It depends on the individual's total income, total household expenditure, and justification for the quantum of savings," explains Prabhakar K.S., Founder and CEO of Shree Tax Chambers.

However, if it is more than a reasonable quantum and is kept in the bank as a recurring or fixed deposit, or if invested in shares or mutual funds, then the income earned, like interest or capital gains, is clubbed with that individual's income.

In other words, if the money is being transferred to gain some tax benefits, then beware; there may not be any benefit to be had.

Of course, the situation is different if the transfer is to another relative. Suresh Surana, Founder of tax con-